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The Fair Credit Reporting Act (FCRA)

The Fair Credit Reporting Act (FCRA), Public Law No. 91-508, was enacted in 1970 to promote accuracy, fairness, and the privacy of personal information assembled by Credit Reporting Agencies (CRAs).

CRAs assemble credit reports on individuals for businesses, including credit card companies, banks, employers, landlords, and others. CRAs may also be referred to as "credit bureaus" or "consumer reporting agencies." A credit report is a record of how you have borrowed and repaid debts. Almost every adult American has a credit file with each of the three major national credit bureaus: Experian, Equifax, and TransUnion.

The FCRA provides important consumer protections for credit reports, consumer investigatory reports, and employment background checks. The FCRA is a complex statute that has been significantly altered since 1970 by Congress and the courts. The Act's primary protection requires that CRAs follow "reasonable procedures" to protect the confidentiality, accuracy, and relevance of credit information. To do so, the FCRA establishes a framework of Fair Information Practices for personal information that include rights of data quality (right to access and correct), data security, use limitations, requirements for data destruction, notice, user participation (consent), and accountability.

The Consumer Financial Protection Bureau (CFPB) engages in rulemaking under the FCRA through the authority granted under the Consumer Financial Protection Act of 2010 (CFPA). The Federal Trade Commission (FTC) issues commentaries on the statute but does not engage in rulemaking for the FCRA.

History of the FCRA

The FCRA was passed to address a growing credit reporting industry in the United States following the drastic increase in use of credit in the American economy. Credit reporting agencies compiled consumer credit reports and investigative consumer reports on individuals who were seeking credit. The FCRA was the first federal law to regulate the use of personal information by private businesses.

The first major credit reporting agency, Retail Credit Co, was started in 1899. Over the years, Retail Credit Co purchased smaller CRAs and expanded its business into selling reports to insurers and employers, changing its name along the way to Equifax.

By the 1960s, significant controversy surrounded the CRAs like Retail Credit Co. Consumers and legislators were concerned with issues of inaccurate or incomplete credit reports, leading to denial of services and opportunities, and a lack of consumer right to inspect their files. The congressional record shows that consumers complained of mistaken identities and biased data, such as noting that an individual was sued for nonpayment, but did not include the disposition of the case.

There was also abuse in the industry. The investigators collected "lifestyle" information on consumers, including from neighbors, which were ripe for malicious gossip. CRAs collected information including sexual orientation, couples "living out of wedlock," alcohol consumption habits, and rumors of encounters with law enforcement. Investigators even fabricated negative information. Public exposure of the industry resulted in Congressional inquiry and federal regulation of CRAs.

Years of legislative leadership by Representative Leonor Sullivan and Senator William Proxmire resulted in the passage of the FCRA in 1970. Senator Proxmire attempted to broaden the FCRA's protections over the next ten years. Shortly after the FCRA took effect on April 25, 1971, the FTC pursued CRAs for violations of numerous provisions of the Act.

Comprehensive amendments to the FCRA were made in the Consumer Credit Reporting Reform Act of 1996 (P.L. 104-208, 100 STAT 3009-426). The reform was motivated by continuing issues in accuracy and difficulty correcting credit reports. The Amendments contained several improvements to the FCRA, including obligations on furnishers and an ability for consumers to sue furnishers after the furnisher had the opportunity to reinvestigate and fix mistakes. However, it also included provisions that allow affiliate sharing of credit reports, "prescreening" of credit reports (where a creditor asks a CRA for a list of people who meet specified credit-granting criteria and make unsolicited offers of credit), and preemption of certain stronger state laws.

The FCRA was re-visited in 2003 when Congress enacted the "Fair and Accurate Credit Transactions Act of 2003" (FACTA). The Act preempted some state privacy protections but included several improvements to credit reporting law, including free annual credit reports. FACTA also required consumers to be notified of adverse action (e.g. credit denial or receiving less favorable credit terms) based on information obtained from a CRA and included provisions to prevent identity theft and ability for consumers to place fraud alerts in their credit files.

The 2010 Dodd-Frank Wall Street Reform and Consumer Protection Act (P.L.111-203) established the Consumer Financial Protection Bureau (CFPB), consolidating many federal consumer financial protection powers from other federal agencies. After the Dodd-Frank Act, the CFPB has rulemaking authorities over all CRAs under the FCRA. For enforcement, the CFPB has authority over the "larger participants" of the consumer credit market, including the "Big Three," while the FTC retains FCRA enforcement authority over smaller participants and financial institutions.

The 2018 Economic Growth, Regulatory Relief, and Consumer Protection Act established new consumer protections related to credit reporting, including the right to a free credit freeze, which allows consumers to cease opening new credit accounts in their names as a precaution from fraud and identity theft. This legislative action followed a 2017 data breach of Equifax that exposed the personal data of as many as 148 millions individuals.

THE FCRA'S PROVISIONS

Because credit reports can include sensitive personal information and because they are used to evaluate the ability to participate in so many different activities in modern life, their regulations are important for consumer privacy.

In addition to consumer reporting agencies (CRAs), the FCRA establishes rights and responsibilities for "consumers," "furnishers," and "users" of credit reports:

- *Consumers* are individuals.
- *Furnishers* are entities that send information to CRAs regarding creditworthiness in the normal course of business.
- *Users* of credit reports are entities that request a report to evaluate a consumer for some purpose.

What qualifies as a Credit Reporting Agency (CRA)?

The FCRA defines a consumer reporting agency (CRA) as an entity that "regularly engages in whole or in part in the practice of assembling or evaluating consumer credit information or other information on consumers for the purpose of furnishing consumer reports to third parties."

CRAs vary in size and specialty. There are three national CRAs in the United States often referred to as the "Big Three": Experian (formerly TRW), Trans Union, and Equifax (formerly Retail Credit Co.). There are also others that usually concentrate on reporting on individuals living in certain regions of the country or focus on credit reporting for specific industries. CRAs sell reports for a variety of purposes, including tenant screening, employment background checks, insurance eligibility, credit eligibility, and more. CRAs also sell reports to companies that advertise subprime loans to low-income people, telecommunications and utility companies, and companies who provide third-party fraud and risk management services to other companies.

Depending on the nature of the operation, other companies can be considered CRAs. Courts have held that private investigators, detective agencies, collection agencies, and even college placement offices can be CRAs under the law.

In 2023, the CFPB began a rulemaking process where it proposed to expand coverage of FCRA over data brokers as CRAs because they often share credit reporting information with third parties. The rulemaking was an attempt to respond to the growing consumer surveillance where data brokers aggregate sensitive data about consumers without consent, threatening various privacy harms, while evading coverage under FCRA. EPIC submitted comments to the CFPB in support of the rulemaking, arguing that data brokers should be presumptively covered by the broad scope of FCRA because its business model is to "regularly engage[] in whole or in part in… assembling or evaluating… consumer information" and to share third-party data. As of May 2025, the proposed rule was rescinded by the CFPB.

Consumer Credit Reports and Investigative Consumer Reports (ICRs)

Consumer credit reports contain information on financial accounts and include credit card balances and mortgage information. Credit reports are used for evaluating eligibility for credit, insurance, employment, and tenancy; the ability to pay child support; professional licensing (for instance, to become an attorney); or for any purpose that a consumer approves.

A consumer credit report will contain basic identifying information (name, address, previous address, Social Security Number, marital status, employment information, number of children) along with:

- Financial information: Estimated income, employment, bank accounts, value of car and home.
- Public records information: Such as arrests, bankruptcies, and tax liens.
- Tradelines: Credit accounts and their status. This will also include the data subject's payment habits on credit accounts.
- Collection Items: Whether the data subject has unpaid or disputed bills.
- Current Employment and employment history.
- Requests for the credit report: The number of requests for the data subject's report and the identity of the requestors.
- Narrative information: A statement by the data subject or by the furnisher regarding disputed items on the credit report.
- Health information.

Certain information about consumers is excluded from the definition of "credit report." This includes "transaction and experience" information, that is, records of purchases of goods and services by the consumer. Consumer files, however, do not contain information on consumer income or assets. Additionally, corporations may share credit report information among affiliates as long as notice and opt-out is provided to the consumer.

CRAs can also prepare "investigative consumer reports," (ICRs) dossiers on consumers that include information on character, reputation, personal characteristics, and mode of living. ICRs are complied from personal interviews with persons who know the consumer. Since ICRs include especially sensitive information, the FCRA affords greater protections for them. For instance, within three days of requesting an ICR, the requestor must inform the consumer that an ICR is being compiled. The consumer also can request a statement explaining the nature and scope of the investigation underlying the ICR.

The Credit "Score"

The credit score is a "grade" of creditworthiness. Individuals with good credit scores can obtain credit more easily, and at lower interest rates. Companies do not disclose the precise algorithm they use to determine credit scores to the public. However, the following factors likely affect credit scores: the amount of money owed to creditors, payment history, whether the individual is seeking new extensions of credit, and the types of credit lines that an individual currently holds. An individual may have different credit scores depending on the scoring model, the source of the data used, and even the day it was calculated. There can also be differences between consumer- and creditor-purchased credit scores, raising reliability issues for consumer-purchased credit scores.

The Fair and Accurate Credit Transactions Act of 2003 (FACTA), which amended the FCRA, requires CRAs to disclose a consumer's credit score. The Dodd-Frank Act of 2010 also amended two provisions of the FCRA to require the disclosure of a credit score and related information when a credit score is used in taking an adverse action or in risk-based pricing.

Credit reporting companies may charge a fee, but a credit score may be obtained for free from your credit card issuer, another lender, or from a non-profit credit or housing counselor. The disclosure must include the score along with the range of possible scores. Mortgage lending companies must also provide the credit score upon request, in addition to the key factors of the underlying automated underwriting system if one is used.

The Credit "Header"

A credit header is identifying information from a credit report. It includes name, mother's maiden name, date of birth, sex, address, prior addresses, telephone number, and the Social Security Number. Credit headers were defined this way in an FTC report to Congress in 1997. The FTC allowed the CRAs to treat headers as "above the line" information and to sell it with no legal protections for the individual. The reasoning was that this information did not relate to credit, and thus should not be considered part of the credit report.

EPIC has advocated for the CFPB to clarify that credit header data is consumer reporting information that is covered by FCRA. Credit header information is sold in bulk by CRAs and data brokers and can be purchased online. For example, data brokers buy and sell hundreds of millions of names and addresses gathered by essential utilities companies without consumers' knowledge or consent, causing harms to privacy and civil liberties. Further, data brokers dealing in credit header data also consistently fail to comply with the accuracy standard set forth in FCRA, resulting in these data brokers collecting and selling inaccurate data that harms consumers. Thus, the inclusion of credit header information as consumer reporting information under FCRA is important to strengthen consumer protections.

Permissible Uses of the Credit Report

The FCRA limits the use of the credit report to certain purposes. They are:

- Applications for credit, insurance, and rentals for personal, family or household purposes.
- Employment, which includes hiring, promotion, reassignment or retention. A CRA may not release a credit report for employment decisions without consent.
- Court orders, including grand jury subpoenas.
- "Legitimate" business needs in transactions initiated by the consumer for personal, family, or household purposes.
- Account review. Periodically, banks and other companies review credit files to determine whether they wish to retain the individual as a customer.
- Licensing (professional).
- Child support payment determinations.
- Law enforcement access: Government agencies with authority to investigate terrorism and counterintelligence have secret access to credit reports.

Targeted marketing is not a permissible use of credit reports. In 2001, Trans Union attempted to challenge the FTC prohibition on using credit information for target marketing but failed in *Trans Union v. FTC*. There, the Court of Appeals for the District of Columbia held that tradelines (credit information that includes name, address, date of birth, telephone number, Social Security number, account type, opening date of account, credit limit, account status, and payment history) could not be sold for marketing purposes because they constituted a credit report for purposes of the Fair Credit Reporting Act (FCRA). Further, the Court rejected the profiler's claim that the First and Fifth Amendments invalidated the FCRA.

In 2006, consumer data broker ChoicePoint settled the FTC's charges that it violated FCRA's permissible purposes provisions by providing consumer reports to persons without a permissible purpose, resulting in at least 800 cases of identity theft. More recently, in 2020, a group of companies and individuals settled CFPB allegations that they obtained consumer reports without a permissible purpose when they obtained consumer reports for use in marketing debt relief services.

Risk-Based Pricing Notices

The Fair and Accurate Credit Transactions Act of 2003, which updates the FCRA, requires that a creditor notify a consumer when it offers credit terms that are "materially less favorable than the most favorable terms available to a substantial proportion of consumers." Before the amendments, creditors were not required to inform consumers when the negative information in the credit report resulted in the offer of poor credit terms. Further, the risk-based pricing rule requires creditors to provide consumers with "risk-based pricing" notice if they grant credit but on less favorable terms based on a consumer report.

Affiliate Marketing

The Fair and Accurate Credit Transactions Act of 2003 allows consumers to opt-out of affiliate marketing — a company's use of an affiliate company's information about a consumer for marketing purposes — for a period of five years (which may be extended for an additional five years). However, communication of other information exempted from the definition of "consumer report" within the FCRA is not subject to a consumer's opt-out. These include, for example, information relating to transactions or experiences between the consumer and the company — a broad wealth of information.

Medical Information

In January 2025, the CFPB finalized a rule that prohibits the inclusion of medical debt on credit reports and consideration of medical debt by creditors. This had the effect of removing an estimated $49 billion in medical bills from the credit reports of about 15 million Americans.

This rule followed research by the CFPB, which estimated $88 billion in medical bills were included in credit reports, even though the U.S. healthcare system is supported by a billing, payments, collections, and credit reporting infrastructure where mistakes are common and patients experience significant difficulty in correcting or resolving mistakes. The CFPB's research also revealed that a medical bill on a person's credit report is a poor predictor of whether they will repay a loan, and contributes to thousands of denied applications on mortgages that consumers would be able to repay.

The final rule followed a joint announcement in March 2022 by the three nationwide credit bureaus—Experian, Equifax, and TransUnion—that (1) paid medical debts would no longer be included on credit reports for consumers, (2) medical debts that are less than a year old would no longer be included on credit reports to give consumers time to settle the debt with medical providers and insurance companies, and (3) medical debts under $500 would no longer be included on credit reports for consumers as of the first half of 2023.

Special Rights in the Employment Context–Background Checks

After 9/11, the number of employers who conduct background checks on prospective employees skyrocketed. Today, 95% of U.S. businesses are reported to run background checks before making hiring decisions.

Employers can request standard consumer credit reports or investigative consumer reports (ICRs) on their employees. Employers request the reports for hiring, promotion, reassignment, or retention decisions. Employment screening companies provide information such as credit history, employment, salary, education, and professional license verification to employers and others. They may also collect, evaluate, provide, or make available criminal arrest and conviction information; driving record information; drug and alcohol testing and health screening information; and non-profit and volunteer activity verification.

Employers using background screening reports must certify to the CRA that they will comply with the FCRA. Employers that use consumer reports are required under FCRA to get written permission from applicants to obtain their consumer reports for use in the decision-making process.

If the employer intends to take any adverse action based in any part on information in the report, it must first provide to the consumer: 1) a copy of the report and 2) a summary of the consumer's rights under FCRA. If the employer takes an adverse action, it must notify the individual. The individual has the right to dispute information in the report and the results of the investigation are sent to the individual. However, applicants who learn about any inaccuracies following adverse actions may not have sufficient time to make corrections before losing the prospective job.

A patchwork of federal, state, and local laws limit the ability of employers to use background checks. An employer cannot refuse to hire people simply because they have been arrested, though they can inquire about the circumstances of the arrest. Some states do not allow the consideration of arrest data (without a conviction) in employment decisions. Other states prohibit employers from asking about criminal history until later in the hiring process. Under the FCRA, an arrest is generally not allowed to be reported when it is older than seven years, or outside the governing statute of limitations. Some state laws also limit time for reporting of convictions to seven years. And, federal Equal Employment Opportunity Commission (EEOC) regulations prevent employers from taking adverse action against an individual for merely having a criminal conviction–the conviction must be relevant to the job, or there must be some other sound business reason for taking action against the individual.

Law Enforcement Access to the Credit Report

Federal, state, and municipal agencies can obtain basic identifying information (name, address, former address, employment), referred to as "credit header data" as explained above, on any consumer through a CRA. If they want more detailed information provided in a consumer report, however, they generally must seek a court order or a subpoena.

The USA PATRIOT Act, passed in the wake of the 9/11, broadened law enforcement access to credit reports. Prior to the Act, the FBI had access to credit reports without a court order or subpoena if it certified that the information is necessary for "the conduct of an authorized investigation to protect against international terrorism or clandestine intelligence activities." The Act eliminated the requirement of a nexus to a foreign power or its agents and instead, § 1681u requires that the information sought be relevant for various national security investigations "to protect against international terrorism or clandestine intelligence activities." § 1681v allows any government agency that is authorized to conduct intelligence or counterintelligence investigations or analysis of international terrorism to gain access to credit reports. Like the FBI access provision, the agency must certify that the credit report is necessary for investigation or analysis. The CRA is not permitted to disclose to the data subject that the government agency sought the credit report. Further, requests made under § 1681v do not have to be disclosed to Congress. State and local law enforcement within fusion centers often work in conjunction with the FBI or other federal officials to seek consumer reports pursuant to either § 1681u or § 1681v authority.

State Protections May Be Broader than the FCRA ("Preemption")

The FCRA, like many other privacy statutes, provides a federal baseline of protections for individuals. Under 15 U.S.C. § 1681t(a), FCRA is only partially preemptive, meaning that except in a few narrow circumstances, state legislatures may pass laws to supplement the protections made by the FCRA. FCRA does not usually preempt state credit reporting or other laws, unless there is a specific inconsistency between the FCRA and the state law, or unless certain FCRA exceptions apply. Some states have passed laws requiring the CRAs to provide reduced cost, or free credit reports.

In 2022, the CFPB issued an interpretive rule clarifying that the FCRA's express preemption provisions have a "narrow and targeted scope," providing support for states to adopt credit reporting legislation protecting consumers. Opposing frequently argued interpretations by the consumer reporting industry, the rule points out that state laws that forbid or restrict CRAs from including information about evictions, rental debts, or criminal records generally would not be preempted.

The FCRA does preempt state law "to the extent that those laws are inconsistent with any provision of this title, and then only to the extent of the inconsistency." 15 U.S.C. § 1681t(a). State law is "inconsistent" only if an individual or an entity would violate FCRA by complying with state law, not if state law merely provides more protections to consumers than the FCRA.

It is possible for state law to be inconsistent with FCRA even if it offers more protection than the federal law if it would undermine the "full purposes and objectives" of Congress. There are various areas where courts have disagreed on whether state law is preempted by FCRA, including when there is a difference of remedies between FCRA and state laws, or when state statutes lacked qualified immunity provisions to protect CRAs from tort actions.

Your Right to Access Your Credit File

Individuals have the right to request one free copy of your credit report each year from each of the three major consumer reporting companies (Equifax, Experian, and TransUnion) by visiting AnnualCreditReport.com. Once you receive your free annual report, you may request additional reports. By law, a credit reporting company can charge no more than $14.50 for a credit report. As of October

2023, the three national credit reporting agencies have instituted programs that allow individuals to check their credit report once a week for free.

You have a right to a free copy when an entity takes an "adverse action" against you based in whole or part on the report. Adverse actions are defined broadly under the act. They include: denial, termination, or an unfavorable change in the offer of credit or insurance; denial or an unfavorable change in employment or licensing. After an adverse action, the user of the credit report must send the individual information on how to obtain a free credit report from the CRA. To get the free report, you must request it within 60 days after you receive the notice of adverse action.

Provision of free copies are also required when an individual is unemployed and seeking employment, when the report is inaccurate because of fraud, and when an individual is receiving welfare benefits.

State law may also require CRAs to provide free credit reports more than one per year as required under federal law.

Right to Correct Inaccurate Information

A study by Consumer Reports found that more than a quarter of people found serious mistakes in their credit reports, making it important for consumers to proactively check their credit reports. Individuals may dispute inaccurate information that appears in a credit report with the CRA. To dispute the information, individuals should explain in writing what information is wrong, why, and include copies of documents to support the dispute. The CFPB provides instructions and a template letter.

CRAs are required to investigate disputes, forward the dispute and all relevant information you provided to the furnisher of the information, and provide a report back to the consumer. Inaccurate or unverifiable information must be removed within 30 days of notice of the dispute. If the CRA cannot resolve the dispute, the individual can add a statement to the credit report.

Individuals may also dispute inaccurate information with the furnisher. Examples of furnishers include an individual's bank, landlord, and credit card company. Furnishers that are financial institutions as defined in the Gramm-Leach-Bliley Act that extend credit and regularly report negative information about customers to nationwide CRAs must notify individuals when reporting negative information. The notice must be made either before the negative information is furnished to a CRA, or within 30 days after reporting the negative information.

Furnishers generally must investigate and respond to the dispute within 30 days of receipt. If an individual disputes inaccurate information with a furnisher, that furnisher cannot report the information to a CRA without also including a notice of the dispute. If the investigation shows the furnisher provided incorrect information, or the information cannot be verified, the furnisher must update or remove the information and notify all the CRAs after correcting it. Then, the CRAs must update the individual's credit reports. However, the furnisher might determine that the information is accurate and should not be updated or removed. If so, the individual can contact the credit reporting companies again and request them to include a statement explaining the dispute in the credit reports. The statement is then added to the file and provided in any future credit report request.

Individuals can also submit a complaint with the CFPB for problems with a credit report.

Even if the information is accurate, the FCRA also imposes time limitations on how long negative information can appear in a consumer report. For instance, bankruptcies must be removed from the report after 10 years. Civil suits, civil judgments, paid tax liens, accounts placed for collection, and records of arrest can only appear for 7 years. Records of criminal convictions can remain on the report indefinitely. Also, time limitations on reporting negative information do not apply if the credit report will be used in connection with an application for a job that pays more than $75,000 a year or an application for more than $150,000 worth of credit or life insurance.

Identity Theft

American adults lost a total of $43 billion to identity fraud in 2023. Identity theft occurs when the perpetrator obtains the victim's personal information, such as a Social Security number, home address, date of birth or bank account data, and uses it for fraud or other illicit purposes. The perpetrator may use the victim's personal information to access the victim's bank account, use their credit card for purchases, or pretend to be the victim and open a new credit card or bank account. The FTC reported that in 2024, it received over 2.6 million reports of identity theft. They are most frequently due to cyberattacks, such as AT&T's 2024 announcement that 73 million current and former customers' personal information (including Social Security numbers) had been stolen.

The FCRA spells out rights for victims of identity theft, as well as responsibilities for businesses. Identity theft victims are entitled to ask businesses for a copy of transaction records — such as applications for credit — relating to the theft of their identity. The businesses covered by the law must provide copies of these records, free of charge, within 30 days of receiving the request in writing.

The FACTA added significant identity theft provisions to the FCRA, but most of these provisions are remedial and will not prevent identity theft. These include the ability to issue one-call fraud alerts, extended fraud alerts and active military duty alerts. Additionally, new responsibilities were placed on users of credit reports (e.g. a lending company). These include red-flag guidelines, providing identity theft victims with business transaction information, and protecting certain consumer information.

The 2018 Economic Growth, Regulatory Relief, and Consumer Protection Act established new consumer protections, including the right to a free credit freeze, which allows consumers to cease opening new credit accounts in their names as a precaution from fraud and identity theft.

If a consumer is a victim of identity theft, they should visit IdentityTheft.gov and place a fraud alert. A fraud alert requires creditors to take additional steps to verify the consumer's identity before they open a new account, issue an additional card, or increase the credit limit on an existing account based on a consumer's request. A consumer may provide a telephone contact number through which a credit user must verify the consumer's identity.

All fraud alerts are "one-call." If a CRA receives a request for a fraud alert, it must notify the other CRAs also. The fraud alert is also communicated to users requesting the consumer's credit report. Additionally, the CRA must notify the consumer of their right to a free credit report.

There are two main types of fraud alerts: initial fraud alerts and extended alerts. Credit reporting companies will keep the initial fraud alert on the consumer's file for one year. After one year, the initial fraud alert will expire. When a consumer places an initial fraud alert on file, they're entitled to order one free copy of their credit report from each of the nationwide credit reporting companies.

If the consumer has filed a report with a law enforcement agency, they can request an "extended fraud alert" that lasts for seven years. CRAs must also exclude the consumer from prescreening lists for five years and notify the consumer of their right to two free credit reports within twelve months of the fraud alert request.

Servicemembers in the armed forces can also request an "active military duty alert" that remains active for twelve months, which can be renewed. This alert requires businesses to take reasonable steps to the consumer's identity before issuing credit. The consumer placing an active military duty alert may assign a personal representative to answer identity verification requests.

Furnishers also have duties under the FCRA when a CRA notifies it that a consumer's identity has been stolen. For example, if a CRA notifies a furnisher that information that it furnished is blocked on a consumer's credit report because of identity theft, the furnisher must have procedures to prevent re-reporting of the information. If a CRA notifies a furnisher that a debt has resulted from identity theft, the

furnisher may not sell, transfer, or place that debt for collection. If a furnisher finds that it furnished inaccurate information due to identity theft, it must promptly notify each CRA of the correct information.

Credit monitoring products are often offered by businesses when a consumer's personal information held by those businesses has been the subject of a data security breach. One problem with this practice is that these products merely detect possible identity theft at best and do little to prevent a future identity theft. A security freeze is a better preventative measure. Because most businesses will not open credit accounts without checking the consumer's credit report, a freeze can stop identity thieves from opening new accounts in the victim's name. However, a freeze doesn't prevent identity thieves from taking over existing accounts.

Under the 2018 Economic Growth, Regulatory Relief, and Consumer Protection Act, consumers can freeze and unfreeze their credit record for free at the three national CRAs – Experian, TransUnion, and Equifax. A security freeze, also called a credit freeze, stops new creditors from accessing the consumer's credit file until they lift the freeze. The federal law requiring free security freezes does not apply to entities that request the consumer's credit report for employment, tenant-screening, or insurance purposes. Unlike fraud alerts, placing a credit freeze with one CRA does not initiate a credit freeze with other CRAs. The consumer must contact each CRA individually to place a credit freeze.

Consumers can also opt out of "prescreeing" to reduce the chances of identity theft. Prescreening is the practice of selling lists of customers based on information in the credit file to send unsolicited offers of credit. Opting out may reduce the chances of malicious actors from intercepting the offers and fraudulently opening accounts in the consumer's name.

Enforcement of FCRA

The FCRA affords individuals a private right of action that can be pursued in federal or state court against CRAs, users of credit reports, and furnishers. In certain circumstances, successful plaintiffs can obtain attorney's fees, court costs, and punitive damages.

While the FCRA imposes obligations on furnishers of information to CRAs, FCRA explicitly states that there is no private right of action against furnishers for many of those requirements (15 U.S.C. § 1681s-2(c)). These include, for example, to refrain from furnishing information about a consumer to a CRA if the furnisher knows or has reason to believe that the information is inaccurate, to refrain from furnishing information if the furnisher has been notified by a consumer that the information is inaccurate and is in fact inaccurate, and to correct and update information. The FCRA also limits furnisher liability under state law through qualified immunity from certain tort claims and through a preemption provision.

One exception to the general prohibition on private right of action against furnishers is against creditors and furnishers that fail to comply with reinvestigation obligations. Creditors, debt collectors, and others who furnish information to CRAs must participate in reinvestigations conducted by the CRAs when consumers dispute the accuracy or completeness of information with the CRA, and must follow certain steps to correct erroneous information (15 U.S.C. § 1681s-2(b)). This private right of action is only triggered where a CRA asks the furnisher to reinvestigate, and not where a consumer disputes the information directly with the furnisher.

The qualified immunity provision also limits liability under three tort theories for CRAs, users, and furnishers for reporting of information. Specifically, 15 U.S.C. § 1681h(e) establishes a limited qualified immunity for the CRA, user, and furnisher from liability under defamation, invasion of privacy, or negligence, unless the conduct involves malice or willful intent. Because the limited qualified immunity only applies to claims "with respect to the reporting of information," other conduct, unrelated to the information reported, can give rise to tort claims that the qualified immunity would not reach.

Public enforcement authority under the FCRA is spread among several different federal agencies, including the FTC and the CFPB, since the passage of the Dodd-Frank Act on July 21, 2010. The federal agency with enforcement authority differs depending on the size and type of the institution that is the target of enforcement. All persons subject to the FCRA are subject to enforcement actions by at least one federal agency. Additionally, general enforcement authority is vested in the states.

The division of enforcement authority between federal agencies does not affect states' ability to enforce the FCRA. The FCRA provides that state attorney generals may bring actions for violations of the FCRA.

Article III Standing Challenges

Two recent decisions by the Supreme Court interpreting Article III standing—Spokeo, Inc. v. Robins (2016) and TransUnion LLC v. Ramirez (2021)—have significantly limited an individual consumer's ability to sue under FCRA for violations of the law.

In Spokeo, Inc. v. Robins, Thomas Robins charged that Spokeo disclosed inaccurate information about him that harmed his employment prospects, violating his rights under the FCRA. The Court sided with Spokeo and concluded that certain "bare procedural violations" are not sufficiently "concrete" of an injury to satisfy Article III standing requirements.

In TransUnion LLC v. Ramirez, the Court ruled that proof of "concrete harm"—not merely legal injury (i.e. a violation of statutory rights)—can satisfy Article III standing. The jury in the case had found that TransUnion willfully violated the FCRA. However, the Supreme Court held that only the individuals who could prove that these false credit reports, which flagged them as potential terrorists, drug traffickers, and other sanctioned individuals, had been disclosed to third parties had shown that they suffered a "concrete injury." But individuals who could not provide evidence of disclosure could not have standing to sue.

As EPIC wrote after the Court's decision, TransUnion has major implications for individuals seeking redress in federal court for privacy violations that violate the law, such as FCRA, but that do not involve the improper disclosure of personal information.

Accuracy Issues in Consumer Credit Reporting and Non-Compliance with FCRA Obligations

In order to gain passage of the FCRA in 1970, consumer advocates gave CRAs a big concession—immunity from defamation lawsuits based on information in the reports. Since defamation actions are limited, individuals often obtain redress against CRAs by suing for failure to correct inaccurate information, which has been limited by the Supreme Court's Article III standing cases.

Inaccuracy in the credit reporting system is a long-standing issue. A CFPB report from August 2024 found that non-compliance with obligations to ensure accuracy and provide other protections under FCRA and Regulation V are outstanding issues today. Examiners found that companies refused to honor consumer requests to block information associated with identity theft based on overbroad criteria; failed to inform consumers when blocks were denied or rescinded; failed to provide victims of identity theft with summaries of rights; and failed to timely block all information resulting from human trafficking identified by consumers. Examiners also found companies accepted information from furnishers that may have been no longer providing reliable, verifiable information about consumers, such as furnishers that failed to respond to nearly all disputes or provided the same responses to all disputes. Further, examiners found auto loan furnishers continued to share incomplete or inaccurate information for several months or even years after learning the information was false, incomplete, or inaccurate. Some furnishers continued to furnish information that consumers were disputing without indicating the information was disputed, or failed to investigate the accuracy of information that consumers disputed.

In addition to its supervision work, the CFPB has taken regulatory and enforcement actions. In November 2023, the CFPB ordered Toyota Motor Credit to pay $60 million for illegal lending and credit reporting misconduct. The challenged conduct included knowingly tarnishing consumers' credit reports with false information. In October 2023, the CFPB and Federal Trade Commission took actions against TransUnion for illegal rental background check and credit reporting practices, for which TransUnion was ordered to pay $23 million. TransUnion failed to take steps to ensure the rental background checks that landlords use to decide who gets housing were accurate. The company also withheld, from renters, the names of third parties that were providing the inaccurate information.

RESOURCES

- Fair Credit Reporting, National Consumer Law Center.
- Consumer and credit Reporting, Scoring, and Related Policy Issues, Congressional Research Service (Nov. 19, 2024).
- FTC Commentary on the FCRA, 16 C.F.R. Part 600.
- 40 Years of Experience with the Fair Credit Reporting Act, FTC.
- Credit Reporting Requirements, CFPB.
- Essentials About Credit Reporting: Consumer Debt Advice from NCLC, National Consumer Law Center.
- Reports: The CFPB Gets Results for Consumers, PIRG.
- Learn More: Navigating Financial Rules and Regulations, CFPB.
- Annual Report of Credit and Consumer Reporting Complaints, CFPB.
- Credit Reporting, FTC.
- Fair Credit Reporting Act, FTC.
- Consumer and Credit Reporting, Scoring, and Related Issues, Congressional Research Service.
- Testimony Before the House Subcommittee on Digital Commerce and Consumer Protection, Bruce Schneier.
- CFPB's Proposed Data Rules, Bruce Schneier.
- A Model Regime of Privacy Protection, Daniel J. Solove and Chris Jay Hoofnagle.

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